

The complaint

The estate of Ms P have complained about the way Aviva Insurance Limited dealt with a claim made under a home insurance policy.

What happened

Ms P passed away. In March 2020 solicitors as the executor of Ms P's estate obtained unoccupied household insurance with Aviva. I'll refer to the solicitors as 'S' for ease in my decision.

Mrs H says she is a beneficiary of the estate of Ms P. In June 2020 she reported to S a small leak of water coming down the side of an asbestos pipe in the garage of the property. S asked Mrs H to contact Aviva on behalf of the estate. Mrs H dealt with the claim in terms of communicating with Aviva, the contractors and arranging access to the property.

Aviva accepted it made errors from the outset. It said it should have dealt with the claim under 'Trace and Access'. So it should have instructed a contractor to identify the source of the leak and make safe the asbestos pipe, but that it would be the estate's responsibility to arrange and pay for the repairs. However, Aviva didn't realise its error until a couple of months later when the works were arranged. And following Mrs H and S' complaint, agreed to meet the costs of the replacement of the damaged pipe and settle the claim. Works were completed in September 2020 and Aviva asked for an excess of £1,000 to be paid.

In order to remove and replace the damaged pipe, the existing bathroom fittings had to be removed. After the pipe was replaced, the fittings were put back. Unfortunately in October 2020 Mrs H discovered water damage to the property. Aviva dealt with the repairs to put this right. This damage was caused by a failure by a contractor to tighten a valve under the bath when putting it back.

Mrs H was unhappy that the contractor asked for the excess payment of £1,000 to be paid. Mrs H said the policy showed that the standard excess was £175. She didn't think the higher excess was due for an escape of water claim – because she said the only escape of water damage caused was by the contractor. Mrs H received conflicting information from Aviva as to the amount of excess owed.

In response to the complaint, Aviva said the correct excess was due in line with the policy. But it didn't specify what that was. Aviva offered to pay £300 compensation for the inconvenience its handling of the claim had caused. Mrs H says Aviva didn't pay this due to the dispute as to the excess it said was owed.

Mrs H remained unhappy and S with Mrs H brought the complaint to us.

Our investigator explained that the Grant of Probate showed that Mrs H wasn't an executor of the estate – and so she wasn't an eligible complainant. This meant that we could not consider the distress and inconvenience she says Aviva caused her.

The investigator explained that we could consider the complaint on behalf of S as the

executor of the estate and the policyholder for the insurance policy with Aviva - as they are an eligible complainant. But they cannot be compensated for distress. On this basis, he gave his findings to both Mrs H and S.

The investigator was satisfied that the compensation of £300 for inconvenience was reasonable. And he thought the excess for an escape of water claim of £1,000 was correctly owed as set out under the terms and conditions of the policy.

Mrs H didn't agree. She's very disappointed that we cannot consider the emotional distress and anxiety the impact of Aviva's handling of the claim has had on her. She says Aviva advised the correct excess owed was £250. This isn't set out anywhere on the policy schedule. She accepts an excess is payable, but not £1,000 for an escape of water.

Mrs H says there was no damage caused by or resulting from an escape of water and the estate did not claim for such damage. She says when water was turned on, water began to trickle down the side of the pipe and stopped when the water was turned off. She said there was a tiny puddle of water on the concrete floor of the garage.

Mrs H says the pipe wasn't damaged by an escape of water.

So Mrs H believes the correct excess payable is the one set out on the policy schedule at £175. S also disagreed and supported Mrs H's complaint.

I issued a provisional decision on 18 August 2021. I thought Aviva should only charge an excess of £175. I thought the compensation award of £300 was fair and reasonable.

Aviva hasn't replied to my provisional decision. S on behalf of Mrs H has accepted my provisional decision. So the case has been passed back to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

As I haven't received any new information, my final decision is along the same lines as my provisional decision.

Mrs H's claim for compensation for distress and inconvenience caused by Aviva

We cannot consider all complaints that are brought to us. We can consider complaints brought to us by eligible complainants and in following the Dispute Resolution rules set out by the Financial Conduct Authority.

The eligible complainant in this complaint is the solicitor as the executor of the estate of Ms P and the policyholder of the policy with Aviva. I understand Mrs H's disappointment. But this service cannot consider the impact of Aviva's handling of the claim on her for the reasons I've given.

Aviva's handling of the claim and request for an excess payment of £1,000

S has provided a response from Mrs H and I've considered what she says about the circumstances of the claim – and whether Aviva was correct in requesting the higher excess of £1,000 for an escape of water claim.

Mrs H says the pipe wasn't damaged by water or anything else. And – quoting from the policy

schedule - she doesn't think it reasonable for Aviva to charge the 'escape of water' excess.

The policy schedule shows the standard excess for a claim is £175. Aviva lists additional excesses clearly under the Endorsements section immediately below.

The policy with Aviva says the excess of £1,000 is payable in the event of *"damage caused by or resulting from Escape of Water from any Tank Apparatus or Pipe"*

So the issue for me to consider is if it is within the policy or reasonable for Aviva to charge an excess for an Escape of Water claim.

From the information available, I agree that there was no damage that had arisen – or was claimed for - from an escape of water from the pipe. There was a small amount of water on the concrete garage floor which dried up and wasn't part of the repair. Photos from the plumber show a small amount of water on the concrete garage floor. When Mrs H contacted Aviva she reported that water was leaking when the water was switched on. But the property was unoccupied and the bathroom and toilet facilities were not being used. Mrs H's enquiries to Aviva were because a plumber advised her that the asbestos pipe would need specialist removal.

I agree with Mrs H that the damage caused by the contractor's error shouldn't be the reason why the higher excess has been charged. And I don't think Aviva is claiming this to be the case. The contractor asked for the higher excess before the leak in October 2020 from the bathroom fitting was discovered.

Had Aviva correctly dealt with the claim from the outset under the Trace and Access section, the claim could only be met if there was loss or damage caused by an escape of water:

"Trace and Access

We will indemnify You in respect of reasonable costs and expenses incurred with Our consent

*(1) in locating the actual source of Damage and
(2) any repairs directly arising from (1) caused by the escape of water from any tank, apparatus or pipe or leakage of fuel from any fixed oil heating installation, provided such Damage is insured by this Section."*

This means that Aviva would pay for the costs of locating the source of the damage and – if by doing so there was damage caused by the escape of water from the pipe, Aviva would cover those costs too. But Aviva wouldn't be responsible for the costs to repair the actual pipe under a Trace and Access claim.

I've looked at the schedule of works following the first claim and I cannot see that this involved replacement or repair works for damage to the property as a result of escaping water. The works were for removing and replacing the pipe. And so I agree with Mrs H that no claim was made for damage arising from an escape of water. It therefore follows that I don't think it reasonable for Aviva to charge the higher excess of £1,000.

There isn't an objection from Mrs H or S to pay an excess, but they say the correct one is £175. I agree.

Had Aviva correctly dealt with the claim, it would have indemnified the policyholder for the reasonable costs to locate the source of the leak and any damage arising from it. But it wouldn't meet the costs of the repair. This means the policyholder would have been responsible for the costs of the repair of the pipe which Aviva instead dealt with.

But due to poor communication when the claim was made, Aviva agreed to deal with the claim including the replacement and repair of the pipe. This agreement was made to put right a failing by Aviva. So I don't think it's reasonable for Aviva to then charge the higher excess for recording it as an escape of water claim.

I've seen an email from Aviva to Mrs H stating that the correct excess is £250. This is also what Aviva initially told us. However, we couldn't find an excess of £250 quoted under the policy schedule. Aviva confirmed that the correct excess due was £1,000. So I agree with Mrs H that Aviva advised of different excess amounts and caused further confusion.

For the inconvenience caused by its handling of the claim and the subsequent leak discovered in October 2020, Aviva offered to pay £300 compensation. I think this is fair and in line with awards which we give for similar cases.

Based on what I've seen, I'm upholding this complaint. My recommendations are set out below.

My final decision

I uphold this complaint. I require Aviva Insurance Limited to do the following:

- reduce the amount of excess owed under the claim to £175 in line with the policy and;
- if it hasn't already paid it – pay the estate of Ms P £300 compensation for the inconvenience caused.

Under the rules of the Financial Ombudsman Service, I'm required to ask the estate of Ms P to accept or reject my decision before 18 October 2021.

Geraldine Newbold
Ombudsman